BERNSTEIN
SOCIETE GENERALE GROUP

28 July 2026


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Global Luxury Goods

Kering SA

Rating

Market-Perform

Price Target

KER.FP **270.00 EUR** (220.00 *OLD*)

Kering: Highlights from the 1H26 conference call

Kering reported its 1H26 results today. This report contains key points from its investor conference call. **Results Quick Take: Kering: 1H26 beats expectations**

Management exuded confidence in their strategic turnaround. Gucci seems to be moving in the right direction in 2Q26A. An acceleration in 2H26E is expected, propelled by a wave of newness set to arrive in stores in end-July and, only to build further over the rest of 2H26. Saint Laurent and Bottega Veneta are growing; Balenciaga and McQueen on the mend. Jewellery is booming, while Eyewear remains strong. A significant improvement in margins, squeezed out through fixed cost efficiencies and an accelerated network clean-up (see Global Luxury Goods: Retail Network Dynamics - China), provide a further boost.

Luca De Meo and his executive team have taken a practical approach. Cleaning up Kering's long-tail of underperforming stores is supporting EBIT%. Gucci's new and more realistic take on pricing, product, and positioning seems the most important reason for its quick revenue stabilization. We had previously highlighted Gucci's bold willingness to price down the Mercato Tote. Luca de Meo's comment on exponential price elasticity behaviour suggests price realism may be a key performance driver at the moment. Moving down to meet customers, as opposed to pulling them up on mere creativity, is not necessarily bad - assuming genuine brand desirability develops from faster brand momentum. There is a huge audience of 'luxury orphans' that Kering (and accessible luxury players) can take care of.

Investment Implications

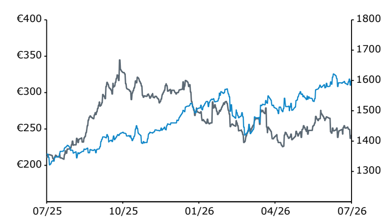
We leave this call more constructive than before, even if our Group FY26E top-line forecasts are largely unchanged, with higher growth at Gucci offset by lower growth at the other divisions. On Gucci, tougher comps could well be partially offset by stronger brand momentum, spurred on by new collections. We forecast Gucci retail comp growth of -1% in 3Q26E. On margins, management reiterated guidance for a sequential improvement in 2H, despite historical seasonality. We remain open to potential cost efficiencies and operating leverage at Jewelry and Eyewear, and now see Group EBIT% at 12.8% in FY26, with EBIT improvements extending to outer years. Our FY26 EPS forecasts rise by +8.6%, landing +5% above current consensus. We now value Kering on a 1.8x target relative P/E (up from 1.7x previously, and equivalent to a 23x NTM+1 P/E), to arrive at an updated price target of €270. Kering's turnaround seems to be moving in the right direction; current valuations, however, suggest that this is largely priced in. More yo-yo moves could be on the menu.

Close Date	28 Jul 2026
KER.FP Close Price (EUR)	250.50
Price Target (EUR)	270.00
Upside/(Downside)	8%
52-Week Range	352.76/207.05
EDME	--
FYE	Dec
Div Yield	1.2%
Market Cap (EUR) (M)	30,917
EV (EUR) (M)	45,969

Performance	YTD	1M	6M	12M
Absolute (%)	(16.4)	(6.2)	(5.5)	16.5
EDME (%)				
Relative (%)				

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



Adjusted EPS	F25A	F26E	F27E
KER.FP (EUR)	4.35	**6.66**	**9.93**
OLD	--	6.13	9.86

Financials	F25A	F26E	F27E	CAGR
Revenues (M)	14,675	14,628	15,491	--

Valuation Metrics	F25A	F26E	F27E
Adjusted P/E (x)	57.6	37.6	25.2

Source: Bloomberg, Bernstein estimates and analysis.

First Published: 28 Jul 2026 22:46 UTC Completion Date: 28 Jul 2026 22:46 UTC

DETAILS

BUSINESS UPDATE

- First quarter of growth after 12 consecutive quarters of negative performance
- **Full price vs Off price:** Performance in 2Q was not driven by off-price sales, with full-price growth being robust. Continuing to close some outlet stores
- **Wholesale guidance:** Aim to stay roughly flat in 2H26
- **OPEX:** Reduction mainly driven by fixed costs, management now expects **a full-year reduction in OPEX** (previously guided to flat OPEX)
  - Note that OPEX fell by -3% on constant currency terms, with FX evolution likely having an impact on 2H OPEX reduction
  - A&P expected to remain around 9% of revenues - brand investment will not be sacrificed
  - Corporate costs ex. the reduction in rental revenues attributable to real estate assets which have now been exited are roughly stable
- **Margins:** Reiterated expectations that 2H26 margins will be sequentially higher than 1H26 margins
- **Commentary on near-term trading:**
  - 3Q26 currently looks flattish on a Group basis, due to a tougher comparable base
  - Management reiterates its aim to deliver positive growth on a FY basis
  - Management emphasizes that the recovery at Gucci will not be linear, pointing to significant newness at Gucci come-4Q26, with Primavera and Cruise in the market at that time
- **Product Architecture:** Gucci is actively looking at various ways to reposition itself, with new collections competitively priced. Not above repositioning some products downward. Price changes have had a large “exponential” impact on volumes - we note that this may be a reference to price cuts on the Mercato Tote bag (see Global Luxury Goods: The Handbag Price & Mix Barometer - Diverging LFL price and product changes in 2Q26) among others.
- **Inventory reductions:** Continuing to guide to a €1bn reduction in F&LG inventories by end-2026
  - Aided by a faster inventory turnover and replenishment cycle
- **Net Store Closures:** Kering has closed 84 net stores in 1H26, versus its plan to close more than 100 in FY26. Originally planned to close around 100 stores in 2027, 50 in 2028 and 30 in 2029
- **No share buybacks planned**

COMMENTARY BY DIVISION

FASHION AND LEATHER GOODS

- **Saint Laurent:** Returned to growth in 1H, with accelerating retail momentum in 2Q
  - Saw strong performance in RTW, footwear and men’s collections, with good traction in North America and Western Europe
  - Innovative pipeline set to launch in early-2027 - hero leather goods and menswear expansion
- **Bottega Veneta:** Strong growth engine; acceleration in retail across most markets

    - Strong leather goods momentum, acceleration flagged in NA, JP, KR and Western Europe

- **Balenciaga:** Undergoing a creative transition, performance remains mixed
    - Leather goods grew DD in 2Q (City, Rodeo); strong performance in South Korea
- **Alexander McQueen:** 20 net store closures in 1H26. Restructuring in progress.
- **Brioni:** Continued strong growth; Maestria bespoke offering grew >30%, now represents 25% of store sales

OF WHICH: GUCCI

- Retail trends across all regions improved, with notable strength in North America; also improvement across all nationalities
- Leather goods returned to growth, driven by successful launches including **Borsetto** and **Paparazzo**.
- Newness continues to accelerate, with La Famiglia in January, the Gucci Generation in April and Primavera which is rolling out across the second-half of July. Primavera is the first fully developed collection under Demna
- **Gucci Racing** conceived as a new platform for sportswear, experiences and to enhance cultural relevance
- **Brand equity** remains strong in North America, which has helped drive positive traction on newness. Where brand equity is weaker / eroded (i.e. China), the results seem to have been more subdued. The turnaround in China will take more time

KERING JEWELLERY

- **Boucheron:** Exceptional growth in Japan and APAC; wholesale performance impacted by the internalization of Emerati franchisees
- **Pomellato:** Strong growth in Japan and NA
- **Qeelin:** Strong APAC growth, particularly in South Korea; less dyanmic wholesale in 2H26 given significant deliveries at the start of the year
- **DoDo:** Faced tougher comps and softer performance

KERING EYEWEAR

- **Strong growth from:** Cartier, Bottega Veneta, Maui Jim, Lindberg, and the Valentino eyewear launch

COMMENTARY BY GEOGRAPHY

NORTH AMERICA

- **American spending** was strong both domestically and abroad, up HSD
- **Gucci** has resonated well with American customers
- Supported by a clear wealth effect in the region

EUROPE

- **European spending** turned positive in 2Q, strong local spending supported retail performance in Western Europe
- Western Europe saw improving tourist flows QoQ

APAC EX. JP

- **Chinese spending** remained negative, but marked an improvement from 1Q, with a sequential improvement from both onshore and offshore spending
- **Korean spending** was an important contributor to performance at BV, Balenciaga and Gucci
- Spending in Mainland China was still down, while the Rest of Asia and South Korea delivered strong retail performance; China remains challenging but improved sequentially

JAPAN

- **Japanese spending** improved sequentially, but remained weak relative to the other nationalities
- **Japan** saw strong growth from Boucheron, Pomellato, and Bottega Veneta

REST OF THE WORLD

- **Middle Eastern** spending remained negative. The region represents 5% of Group sales, and represented a -1% drag in 2Q top-line, in-line with the 1Q impact

EXHIBIT 1: **Global Luxury Goods - OSG Breakdown**

Company	Division	Bernstein - New		Bernstein - Old		New vs. Old (bps)		Consensus		New vs. Consensus	
		2026	2027	2026	2027	2026	2027	2026	2027	2026	2027
LVMH	**Group**	**3.6%**	**6.2%**	**3.1%**	**6.2%**	**55**	**-3**	**2.6%**	**4.8%**	**108**	**134**
	Wines & Spirits	3.5%	2.0%	0.6%	2.0%	284	0	3.5%	3.9%	0	-194
	Fashion & Leather Goods	2.4%	7.0%	2.4%	7.0%	0	0	0.7%	4.5%	166	247
	Perfumes & Cosmetics	1.1%	5.0%	2.8%	5.0%	-174	0	0.3%	3.9%	77	108
	Watches & Jewelry	7.7%	5.0%	4.4%	5.0%	333	0	7.3%	6.5%	40	-150
	Selective Retailing	5.2%	7.0%	4.8%	7.0%	47	0	4.4%	5.1%	87	188
Richemont	**Group**	**14.8%**	**10.1%**	**8.9%**	**6.9%**	**590**	**318**	**9.0%**	**7.2%**	**584**	**289**
	Jewellery Maisons	18.1%	12.0%	10.5%	7.5%	765	450	10.0%	8.1%	811	390
	Specialist Watchmakers	4.9%	4.0%	5.2%	6.0%	-25	-200	4.0%	4.7%	95	-70
	All Other Businesses	5.8%	4.0%	4.0%	4.0%	178	0	5.0%	4.5%	78	-52
Kering	**Group**	**1.8%**	**5.7%**	**2.2%**	**5.7%**	**-43**	**1**	**2.6%**	**6.2%**	**-83**	**-49**
	Fashion & Leather Goods	0.0%	5.2%	0.4%	5.2%	-36	1	0.5%	5.8%	-47	-57
	Of which, other F&LG	1.8%	4.5%	3.4%	4.5%	-156	0	3.7%	5.4%	-185	-91
	Of which, Gucci	-2.0%	6.0%	-2.9%	6.0%	81	0	-2.7%	5.9%	65	12
	Kering Jewelry	16.2%	8.0%	17.3%	8.0%	-112	0	22.5%	10.2%	-628	-219
	Kering Eyewear	6.4%	7.5%	6.8%	7.5%	-38	0				
Moncler	**Group**	**7.1%**	**7.6%**	**7.7%**	**7.6%**	**-60**	**1**	**6.8%**	**5.9%**	**29**	**164**
	Moncler	6.8%	6.8%	7.7%	6.8%	-85	-1	6.9%	6.3%	-9	47
	Stone Island	8.8%	9.2%	7.8%	9.3%	102	-12	7.1%	5.9%	170	331
Burberry	**Group**	**5.6%**	**6.3%**	**6.1%**	**6.3%**	**-45**	**0**	**4.8%**	**5.9%**	**86**	**36**
	Retail	5.8%	6.5%	6.2%	6.5%	-42	0	4.6%	5.9%	121	64
	Wholesale	6.5%	5.0%	5.0%	5.0%	147	0	7.5%	6.0%	-100	-105
	Licensing	-3.0%	6.0%	8.0%	6.0%	-1100	0	-1.4%	4.2%	-156	178
Swatch Group	**Group**	**9.1%**	**3.6%**	**9.1%**	**3.6%**	**0**	**0**	**4.9%**	**4.3%**	**428**	**-76**
	Watches & Jewelry	9.5%	3.5%	9.5%	3.5%	0	0	5.0%	4.4%	449	-89
	Electronic Systems	3.0%	5.0%	3.0%	5.0%	0	0	4.7%	4.3%	-167	67

Source: Company reports, Visible Alpha, Bernstein estimates and analysis

EXHIBIT 2: **Global Luxury Goods - EBIT% Breakdown**

Company	Division	Bernstein - New		Bernstein - Old		New vs. Old (bps)		Consensus		New vs. Consensus	
		2026	2027	2026	2027	2026	2027	2026	2027	2026	2027
LVMH	**LVMH Group**	**22.0%**	**23.1%**	**21.7%**	**23.2%**	32	-5	**21.9%**	**22.6%**	12	54
	Wines & Spirits	19.0%	21.0%	17.4%	21.0%	160	0	19.1%	20.1%	-13	93
	Fashion & Leather Goods	34.8%	36.5%	34.8%	36.5%	0	0	34.6%	35.2%	22	135
	Perfumes & Cosmetics	8.8%	9.5%	8.5%	9.5%	30	0	9.0%	9.5%	-20	-3
	Watches & Jewelry	15.0%	16.0%	14.2%	16.0%	80	0	15.2%	16.2%	-21	-22
	Selective Retailing	10.0%	10.0%	9.4%	10.0%	60	0	10.1%	10.6%	-8	-60
Kering	**Kering Group**	**12.8%**	**14.6%**	**12.0%**	**14.5%**	75	13	**13.1%**	**15.2%**	-26	-65
	Fashion & Leather Goods	15.1%	16.9%	14.1%	16.8%	97	4	15.3%	17.0%	-18	-12
	Of which, other F&LG	12.4%	13.5%	11.3%	13.5%	115	0	12.5%	13.8%	-5	-32
	Of which, Gucci	18.0%	20.5%	17.3%	20.5%	70	0	18.4%	20.4%	-32	10
	Kering Jewelry	6.6%	6.5%	4.5%	5.0%	207	150	4.2%	6.0%	235	55
	Kering Eyewear	20.9%	21.0%	16.1%	17.0%	475	400	16.8%	17.9%	409	310
Moncler	**Moncler Group**	**29.8%**	**30.2%**	**29.4%**	**29.8%**	40	40	**29.4%**	**29.6%**	44	56
Swatch Group	**Swatch Group**	**6.3%**	**9.0%**	**6.5%**	**9.0%**	-16	0	**5.0%**	**7.9%**	135	116
		2027	2028	2027	2028	2027	2028	2027	2028	2027	2028
Richemont	**Richemont Group**	**23.0%**	**24.2%**	**20.9%**	**21.9%**	214	230	**21.3%**	**22.5%**	173	169
	Jewellery Maisons	32.1%	32.5%	30.0%	30.3%	203	220	30.8%	31.8%	127	65
	Specialist Watchmakers	6.0%	7.8%	5.0%	7.8%	98	0	5.1%	7.1%	91	68
Burberry	**Burberry Group**	**8.8%**	**11.5%**	**9.4%**	**11.7%**	-68	-21	**9.7%**	**12.3%**	-94	-87

Source: Company reports, Bloomberg, Bernstein analysis and estimates

EXHIBIT 3: **Where We Stand**

WHERE WE STAND									
(In reporting currency, in millions)	Revenue - Bernstein View			YoY Change - Bernstein (%)			vs. Consensus (%)	
	2025	2026	2027	2025	2026	2027	2026	2027
LVMH Moet Hennessy Louis Vuitton	80,807	81,418	86,447	-5%	1%	6%	1%	2%
Kering	14,675	14,628	15,491	-15%	0%	6%	0%	-1%
Hermes International	16,002	16,820	18,593	5%	5%	11%	0%	2%
Essilorluxottica	28,491	30,796	33,196	7%	8%	8%	1%	-1%
Cie Financiere Richemont	22,420	25,535	28,106	5%	14%	10%	2%	4%
Swatch Group	6,280	6,603	6,840	-7%	5%	4%	1%	-1%
Moncler Spa	3,132	3,302	3,538	1%	5%	7%	1%	1%
Burberry Group Plc	2,420	2,576	2,738	-2%	6%	6%	1%	1%
Prada S.P.A.	5,718	6,264	6,621	5%	10%	6%	-2%	-2%
Brunello Cucinelli	1,408	1,529	1,724	10%	9%	13%	-1%	1%
Ermenegildo Zegna	1,917	2,012	2,213	-2%	5%	10%	-1%	0%
Salvatore Ferragamo	977	974	1,038	-6%	0%	7%	-1%	2%
	Org. Growth - Bernstein View			YoY Change - Bernstein (%)			vs. Consensus (bps)	
	2025	2026	2027	2025	2026	2027	2026	2027
LVMH Moet Hennessy Louis Vuitton	-1.0%	3.6%	6.2%				108	134
Kering	-10.0%	1.8%	5.7%				14	(80)
Hermes International	8.9%	7.7%	10.5%				55	217
Essilorluxottica	11.2%	11.4%	7.8%				267	(138)
Cie Financiere Richemont	11.0%	14.8%	10.1%				325	289
Swatch Group	-1.3%	9.1%	3.6%				387	(130)
Moncler Spa	3.1%	7.1%	7.6%				29	164
Burberry Group Plc	0.1%	5.6%	6.3%				86	36
Prada S.P.A.	9.0%	2.9%	5.7%				(566)	101
Brunello Cucinelli	11.5%	10.8%	10.7%				(30)	66
Ermenegildo Zegna	1.1%	7.1%	8.0%				(64)	47
Salvatore Ferragamo	-3.7%	3.1%	4.6%				59	43
	EBIT - Bernstein View			YoY Change - Bernstein (%)			vs. Consensus (%)	
	2025	2026	2027	2025	2026	2027	2026	2027
LVMH Moet Hennessy Louis Vuitton	17,755	17,896	19,999	-9%	1%	12%	1%	5%
Kering	1,631	1,872	2,259	-36%	15%	21%	0%	-5%
Hermes International	6,569	6,697	7,451	7%	2%	11%	-1%	1%
Essilorluxottica	4,459	4,761	5,533	1%	7%	16%	0%	4%
Cie Financiere Richemont	4,551	5,881	6,799	2%	29%	16%	8%	7%
Swatch Group	135	419	619	-56%	211%	48%	28%	14%
Moncler Spa	913	984	1,067	0%	8%	8%	3%	3%
Burberry Group Plc	160	230	314	515%	44%	36%	-7%	-6%
Prada S.P.A.	1,299	1,140	1,265	2%	-12%	11%	-9%	-6%
Brunello Cucinelli	228	263	302	8%	15%	15%	-1%	2%
Ermenegildo Zegna	139	187	261	-16%	34%	40%	-4%	6%
Salvatore Ferragamo	(21)	38	63	-56%	n.m.	66%	10%	14%
	EBIT % - Bernstein View			YoY Change - Bernstein (bps)			vs. Consensus (bps)	
	2025	2026	2027	2025	2026	2027	2026	2027
LVMH Moet Hennessy Louis Vuitton	22.0%	22.0%	23.1%	(114)	1	115	9	74
Kering	11.1%	12.8%	14.6%	(374)	168	178	1	(69)
Hermes International	41.1%	39.8%	40.1%	52	(124)	26	(35)	(28)
Essilorluxottica	15.7%	15.5%	16.7%	(100)	(19)	121	(14)	72
Cie Financiere Richemont	20.3%	23.0%	24.2%	(58)	273	116	165	167
Swatch Group	2.1%	6.3%	9.0%	(236)	420	270	66	61
Moncler Spa	29.2%	29.8%	30.2%	(31)	64	36	44	56
Burberry Group Plc	6.6%	8.9%	11.5%	556	233	253	(79)	(90)
Prada S.P.A.	22.7%	18.2%	19.1%	(84)	(452)	90	(122)	(82)
Brunello Cucinelli	16.2%	17.2%	17.5%	(38)	102	32	4	4
Ermenegildo Zegna	7.3%	9.3%	11.8%	(130)	201	250	(24)	64
Salvatore Ferragamo	-2.2%	3.9%	6.1%	254	608	217	25	67
	EPS - Bernstein View			YoY Change - Bernstein (%)			vs. Consensus (%)	
	2025	2026	2027	2025	2026	2027	2026	2027
LVMH Moet Hennessy Louis Vuitton	22.73	22.66	26.79	-13%	0%	18%	1%	6%
Kering	4.35	6.66	9.93	-59%	53%	49%	5%	3%
Hermes International	43.12	45.11	53.40	-2%	5%	18%	0%	5%
Essilorluxottica	6.79	7.65	8.95	0%	13%	17%	6%	11%
Cie Financiere Richemont	5.96	8.07	9.33	-7%	35%	16%	9%	9%
Swatch Group	0.03	5.60	8.67	-99%		55%	34%	15%
Moncler Spa	2.31	2.46	2.66	-2%	7%	8%	3%	4%
Burberry Group Plc	0.24	0.36	0.54	n.m.	45%	52%	-6%	-4%
Prada S.P.A.	0.33	0.28	0.32	2%	-15%	12%	-8%	-6%
Brunello Cucinelli	1.99	2.26	2.65	13%	14%	17%	1%	4%
Ermenegildo Zegna	0.45	0.42	0.60	37%	-7%	43%	1%	12%
Salvatore Ferragamo	(0.30)	0.04	0.15	-28%	n.m.	n.m.	25%	12%

Note that calendar years for CFR and BRBY correspond to the their closest financial year or quarter (i.e. CY2025 = FY2026; CY3Q25 = FY2Q26), unless stated otherwise

Source: Company reports, Visible Alpha, Bernstein analysis and estimates

EXHIBIT 4: **Global Luxury Goods - Valuations**

Current Global Luxury Goods Valuation CY 2026					
	P/E	Relative P/E	EV/Sales	EV/EBITDA	EV/EBIT
Kering	37.7	2.4	2.1	8.3	16.7
Hermès	37.0	2.3	9.7	21.5	24.3
Brunello Cucinelli	36.4	2.3	4.3	14.3	25.1
Zegna	30.0	1.9	2.0	9.2	21.5
Richemont	28.2	1.8	4.8	16.9	21.9
Burberry	27.7	1.7	1.8	8.0	19.1
EssilorLuxottica	22.7	1.4	2.9	12.3	18.5
LVMH	20.9	1.3	3.1	10.2	14.4
Moncler	20.0	1.3	4.2	10.6	14.5
Birkenstock	17.9	1.1	3.3	10.9	13.3
Prada	14.2	0.9	2.3	6.9	12.1
Salvatore Ferragamo	n.m.	n.m.	2.2	11.3	64.0
Swatch	n.m.	n.m.	1.2	10.1	22.7
Average	**26.6**	**1.7**	**3.4**	**11.6**	**22.2**

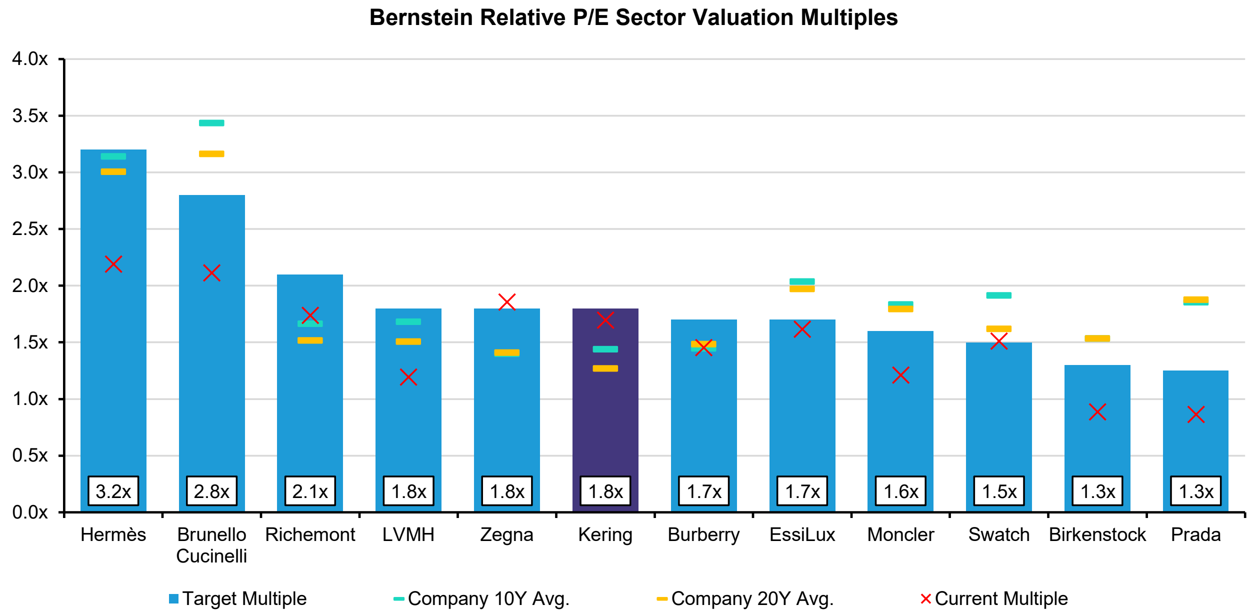
Source: Bloomberg (as of 24/07/26), Bernstein analysis

EXHIBIT 5: **Global Luxury Valuation Premium/(Discount) vs. 10 year History**

Global Luxury Valuation Premium/(Discount) vs 10 year History						
	P/E	Relative P/E	EV/Sales	EV/EBITDA	EV/EBIT	Average
Zegna	51%	34%	36%	43%	73%	**47%**
Richemont	10%	6%	43%	26%	15%	**20%**
Salvatore Ferragamo	n.m.	n.m.	(3%)	35%	n.m.	**16%**
Swatch	n.m.	n.m.	(26%)	10%	33%	**5%**
Burberry	27%	20%	(25%)	(24%)	18%	**3%**
Birkenstock	(22%)	(27%)	(18%)	(15%)	(16%)	**(19%)**
LVMH	(19%)	(23%)	(22%)	(27%)	(20%)	**(22%)**
Brunello Cucinelli	(32%)	(34%)	(2%)	(16%)	(20%)	**(21%)**
Hermès	(22%)	(27%)	(15%)	(22%)	(23%)	**(22%)**
Kering	n.m.	n.m.	(42%)	(32%)	5%	**(23%)**
EssilorLuxottica	(28%)	(31%)	(23%)	(22%)	(23%)	**(25%)**
Moncler	(28%)	(32%)	(25%)	(31%)	(25%)	**(28%)**
Prada	(49%)	(52%)	(32%)	(37%)	(42%)	**(42%)**
Average	**(11)%**	**(17)%**	**(12)%**	**(9)%**	**(2)%**	**(9)%**

Source: Bloomberg (as of 24/07/26), Bernstein analysis

EXHIBIT 6: **Global Luxury Goods - Relative P/E**



Source: Bloomberg, Bernstein analysis

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 7: **Kering - Income Statement**

INCOME STATEMENT (EUR million)	2019A	2020A	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E
Net Sales	15,884	13,100	17,645	20,351	19,566	17,194	14,675	14,628	15,491	16,504
Cost of Sales	(4,109)	(3,591)	(4,577)	(5,153)	(4,639)	(4,513)	(4,015)	(4,096)	(3,981)	(4,126)
Gross Margin	**11,775**	**9,510**	**13,069**	**15,198**	**14,927**	**12,681**	**10,660**	**10,532**	**11,510**	**12,378**
SG&A	(5,751)	(4,935)	(6,598)	(7,943)	(8,358)	(8,014)	(6,985)	(6,616)	(7,123)	(7,552)
EBITDA	**6,024**	**4,574**	**6,470**	**7,255**	**6,569**	**4,667**	**3,675**	**3,916**	**4,387**	**4,826**
Amortisation & Depreciation	(1,245)	(1,439)	(1,453)	(1,666)	(1,823)	(2,113)	(2,044)	(2,044)	(2,128)	(2,130)
Other Operating Income & Expense										
EBIT	**4,778**	**3,135**	**5,017**	**5,589**	**4,746**	**2,554**	**1,631**	**1,872**	**2,259**	**2,696**
Net Financial Result	(310)	(342)	(273)	(260)	(410)	(614)	(594)	(551)	(375)	(341)
Profit before Tax	**4,469**	**2,794**	**4,744**	**5,329**	**4,336**	**1,940**	**1,037**	**1,321**	**1,884**	**2,354**
Tax	(1,258)	(784)	(1,304)	(1,480)	(1,188)	(526)	(376)	(436)	(565)	(659)
Income (loss) from Associates	42	(8)	1	2	4	(10)	(60)	(7)	(9)	(12)
Net Profit	**3,253**	**2,002**	**3,442**	**3,851**	**3,152**	**1,404**	**601**	**878**	**1,310**	**1,683**
Net Minorities	(42)	(30)	(80)	(104)	(91)	(94)	(68)	(61)	(92)	(118)
Goodwill										
ADJUSTED Net Profit for the Group	**3,212**	**1,972**	**3,361**	**3,747**	**3,061**	**1,310**	**533**	**817**	**1,218**	**1,566**
Discontinued Operations & Exceptionals	(903)	178	(46)	(134)	(78)	(177)	(462)			
REPORTED Net Profit for the Group	**2,309**	**2,150**	**3,316**	**3,613**	**2,983**	**1,133**	**71**	**817**	**1,218**	**1,566**
Diluted Shares Outstanding (million)	125,498,766	125,011,945	124,584,509	123,294,645	122,382,930	122,669,341	122,604,812	122,604,812	122,604,812	122,604,812
ADJUSTED EPS, diluted (EUR)	**25.59**	**15.78**	**26.98**	**30.39**	**25.01**	**10.68**	**4.35**	**6.66**	**9.93**	**12.77**
REPORTED EPS, diluted (EUR)	**18.40**	**17.20**	**26.61**	**29.30**	**24.37**	**9.24**	**0.58**	**6.66**	**9.93**	**12.77**

Source: Company reports, Bernstein analysis and estimates

EXHIBIT 8: **Kering - Cash Flow Statement**

CASH FLOW STATEMENT (EUR million)	2019A	2020A	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E
Net Profit for the Group	2,208	2,190	3,245	3,717	3,074	1,227	39	817	1,218	1,566
Amortisation & Depreciation	1,245	1,439	1,453	1,666	1,823	2,113	2,044	2,044	2,128	2,130
Other Adjustments	2,483	652	1,688	1,543	1,392	1,140	1,281	1,055	1,041	1,130
Gross Cash from Operations	**5,936**	**4,280**	**6,386**	**6,926**	**6,289**	**4,480**	**3,364**	**3,916**	**4,387**	**4,826**
Changes in net working capital	(558)	44	(38)	(902)	(396)	667	70	127	(2)	(115)
Interest, taxes and dividends from associates	(2,904)	(1,436)	(1,473)	(1,746)	(1,434)	(438)	(334)	(987)	(940)	(1,001)
Net Cash from Operations	**2,475**	**2,889**	**4,876**	**4,278**	**4,459**	**4,709**	**3,100**	**3,056**	**3,445**	**3,710**
Capex	(956)	(787)	(934)	(1,071)	(2,611)	(3,309)	(830)	(1,037)	(1,043)	(1,049)
Acquisitions	(42)	6	(466)	(1,565)	(5,093)	(35)	(478)	0	0	0
Divestitures	2	659	(16)	(31)	135	32	2,502	4,000	0	0
Financial Investments	(190)	(75)	965	(103)	271	127	19	0	0	0
Net Cash from Investments	**(1,186)**	**(197)**	**(452)**	**(2,770)**	**(7,298)**	**(3,185)**	**1,213**	**2,963**	**(1,043)**	**(1,049)**
Issue of debt & equity	1,443	1,185	215	2,085	6,379	2,099	629	0	0	0
Dividends paid	(1,320)	(1,000)	(998)	(1,483)	(1,712)	(1,716)	(736)	(539)	(449)	(670)
Debt rep & Share rep	(690)	(696)	(1,122)	(1,896)	(967)	(523)	(1,542)	0	0	0
Other financing activities	(971)	(1,111)	(1,022)	(850)	(1,323)	(1,756)	(1,801)	(1,000)	(1,000)	(1,000)
Net Cash from Financing Activities	**(1,537)**	**(1,623)**	**(2,927)**	**(2,144)**	**2,377**	**(1,896)**	**(3,450)**	**(1,539)**	**(1,449)**	**(1,670)**
Effect of FX rate changes	116	98	21	222	18	31	57	0	0	0
Net Cash from discontinued operations	133	(4)	(2)	(8)	0	0	58	0	0	0
TOTAL Net Cash Flow	**1**	**1,163**	**1,516**	**(422)**	**(444)**	**(341)**	**978**	**4,479**	**952**	**991**

Source: Company reports, Bernstein analysis and estimates

EXHIBIT 9: **Kering - Balance Sheet**

BALANCE SHEET (EUR million)	2019A	2020A	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E
Cash & Cash Equivalents	2,286	3,443	5,249	4,336	3,922	3,518	4,313	8,792	9,744	10,734
Short term borrowings	(1,976)	(1,776)	(2,442)	(2,295)	(2,400)	(3,479)	(2,046)	(2,470)	(2,470)	(2,470)
Inventory	2,959	2,846	3,369	4,465	4,550	3,992	3,677	3,591	3,490	3,617
Trade Receivables	996	824	977	1,180	1,151	1,003	824	821	870	927
Trade Payables	(809)	(1,490)	(1,742)	(2,263)	(2,200)	(2,098)	(1,898)	(1,936)	(1,882)	(1,950)
Other Current Assets	1,299	1,908	1,819	1,681	2,307	2,110	1,946	1,946	1,946	1,946
Other Current Liabilities	(5,362)	(3,469)	(4,541)	(3,948)	(4,031)	(4,015)	(3,784)	(3,784)	(3,784)	(3,784)
Net Working Capital	**(607)**	**2,286**	**2,689**	**3,156**	**3,299**	**1,031**	**3,032**	**6,959**	**7,913**	**9,019**
Net Fixed Assets	6,866	6,627	7,268	8,317	10,325	12,152	9,193	4,188	3,103	2,023
Intangibles	9,786	9,438	9,923	11,410	15,290	15,564	11,628	11,628	11,628	11,628
Other Non Current Assets	2,956	2,920	2,463	2,552	3,822	5,007	9,601	9,594	9,585	9,573
Total Net Assets	**19,002**	**21,271**	**22,343**	**25,435**	**32,736**	**33,754**	**33,454**	**32,369**	**32,230**	**32,243**
Long term debt	(3,122)	(3,815)	(2,976)	(4,347)	(10,026)	(10,556)	(10,306)	(9,882)	(9,882)	(9,882)
Other non Current Liabilities	(5,441)	(5,421)	(5,631)	(6,305)	(6,700)	(7,468)	(7,633)	(6,633)	(5,633)	(4,633)
Minorities	(161)	(214)	(389)	(785)	(798)	(826)	(809)	(821)	(872)	(929)
Equity	(10,278)	(11,821)	(13,347)	(13,998)	(15,212)	(14,904)	(14,706)	(15,032)	(15,842)	(16,799)
Total Net Liabilities	**(19,002)**	**(21,271)**	**(22,343)**	**(25,435)**	**(32,736)**	**(33,754)**	**(33,454)**	**(32,370)**	**(32,230)**	**(32,243)**

Source: Company reports, Bernstein analysis and estimates

BERNSTEIN TICKER TABLE

			28 Jul 2026		TTM		Adjusted EPS			Adjusted P/E (x)		
			Closing	Price	Rel.							
Ticker	Rating	Cur	Price	Target	Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
KER.FP (Kering)	M	EUR	250.50	**270.00**	16.5%	EUR	4.35	**6.66**	**9.93**	57.6	37.6	25.2
OLD				220.00				6.13	9.86			
EDME			--									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

DISCLOSURE APPENDIX

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VALUATION METHODOLOGY

Kering SA

We value Kering on a target 1.80x relative P/E multiple to the MSCI Europe, applied to a blended NTM+1 forward EPS forecast, arriving at a target price of EUR270.

RISKS

Kering SA

On the upside:

Re-acceleration at Gucci would prompt consensus numbers to move up, and with it the share price;

Faster than expected recovery of consumer demand would benefit Luxury Goods sector and compound numbers;

On the downside:

A slower than expected recovery in Chiense consumer spending

Poor consumer traction around the Gucci turnaround leading to further negative organic growth and falling valuations

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

EQUITY RATINGS DEFINITIONS

Bernstein brand

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/-15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/-10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

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Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

Autonomous brand common stock ratings are based on a 12-month time horizon.

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- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous preferred stock ratings are based on a 6-month time horizon.

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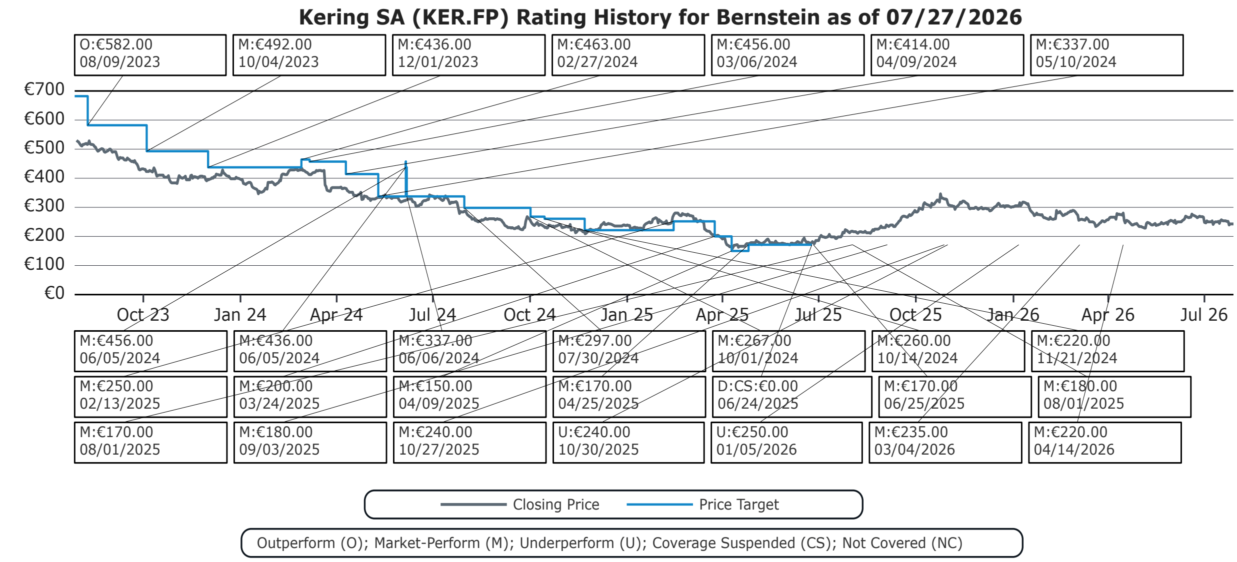
Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	51.2%	15.3%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.
As of June 30, 2026. All figures are updated quarterly.

PRICE CHARTS / RATINGS AND PRICE TARGET HISTORY



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